



KUBERPATH FINANCIAL

EQUITY RESEARCH REPORT

MAZAGON DOCK SHIPBUILDERS
LIMITED

NSE: MAZDOCK | BSE: 543237 | India Defence PSU | Naval Shipbuilding & Submarine Construction

RATING	PRICE TARGET	CMP (Jan 30, 2026)	UPSIDE / (DOWNSIDE)
SELL	Rs 1,993	Rs 2,572	(22.5%)

Market Capitalisation	Rs 1,03,731 Cr USD 12.0 Billion	Valuation Date: January 31, 2026
FY25 Revenue	Rs 11,432 Cr	FY25 EPS: Rs 59.83
FY25 EBITDA Margin	18.0%	Net Cash: Rs 25,120 Cr
Order Book (FY26E)	Rs 83,569 Cr (incl. P75I)	Revenue Cover: ~6.6x

1. EXECUTIVE SUMMARY

We initiate coverage on Mazagon Dock Shipbuilders Limited (MDL) with a SELL rating and a 12-month price target of Rs 1,993, implying a downside of 22.5% from the January 31, 2026 closing price of Rs 2,572. Our valuation is based on a four-method triangulation - a DCF under two WACC assumptions, a Comparable Company Analysis benchmarked against five listed peers, and a Dividend Discount Model included for completeness. The equal-weighted blended intrinsic value of Rs 1,993 reflects our view that MDL was meaningfully overvalued at the time of this report, driven primarily by a sector-level re-rating rather than a fundamental step-change in earnings power.

MDL is a genuinely exceptional business. It is India's premier naval shipbuilder, the sole domestic builder of submarines for the Indian Navy, and the chosen partner for Project 75 India (P75I) - a Rs 99,000 crore programme to deliver six advanced conventional submarines. The company carries Rs 25,120 crore in net cash, has zero meaningful financial debt, and generated a return on equity of 37.9% in FY25. These are not the characteristics of an overvalued stock in the traditional sense.

The issue is not the business - it is the price. Between FY23 and January 2026, MDL's stock appreciated approximately 540% as the Indian defence sector underwent a structural re-rating. Our Damodaran-beta DCF - which we consider the most reliable measure of MDL's fundamental risk - implies a value of Rs 2,169 per share, 16% below the CMP. The market-observed beta DCF, which captures the risk as priced during the re-rating cycle, implies Rs 1,140, a 56% discount. Our blended approach produces Rs 1,993. Peer multiples (CCA) actually support a mild premium to CMP at Rs 2,896, reflecting that MDL traded at a discount to comparable defence PSUs on a P/E basis.

The central thesis of any MDL bull case rests on P75I execution. We do not dispute the quality or strategic importance of that contract. What we question is whether the full value of P75I is already priced in at Rs 2,572. Sensitivity analysis shows MDL only justifies its current price at a WACC below 12% - achievable only if one accepts Damodaran's sector beta in full and ignores the re-rating premium embedded in the traded price. Our SELL rating reflects the entry point, not the business.

Key Metrics at a Glance

METRIC	FY25 ACTUAL	FY26E FORECAST
Revenue (Rs Cr)	11,432	12,685
EBITDA (Rs Cr)	2,060	1,817
EBITDA Margin	18.0%	14.3%
PAT (Rs Cr)	2,414	2,016
EPS (Rs)	59.83	49.98

METRIC	FY25 ACTUAL	FY26E FORECAST
Net Cash (Rs Cr)	25,120	17,545
ROE	37.9%	25.3%
Market Cap	Rs 1,03,731 Cr (USD 12.0 Bn)	-
Order Book (Closing)	Rs 21,868 Cr (standalone)	Rs 83,569 Cr (incl. P75I)

2. COMPANY OVERVIEW

Mazagon Dock Shipbuilders Limited, founded in 1934 and known as the "Shipbuilder to the Nation," is India's leading government-owned defence shipyard. Headquartered at the Mazagon Dock in Mumbai, the company operates under the Ministry of Defence and carries the Miniratna (Category I) classification. The Government of India holds an 81.22% stake as of the valuation date, with mutual funds, FIIs, and retail investors accounting for the remainder. MDL was listed on the NSE and BSE in October 2020 at an issue price of Rs 145 per share - a fact that makes its January 2026 price of Rs 2,572 all the more striking.

The company's business is deceptively simple: it builds warships and submarines for the Indian Navy, and occasionally repairs commercial vessels at its Mumbai facility. Within that narrow scope, MDL occupies a position that no private sector competitor can replicate. It is the only Indian shipyard certified and cleared to build nuclear-adjacent conventional submarines under technology transfer agreements with foreign OEMs. It has delivered five of the six P75 Scorpene-class submarines in collaboration with Naval Group of France, and is the designated builder for the P75I programme with Germany's ThyssenKrupp Marine Systems (TKMS).

MDL's product portfolio spans naval destroyers (Project 15A Delhi-class, Project 15B Visakhapatnam-class), multi-role frigates (Project 17A Nilgiri-class - seven ships currently under construction), offshore patrol vessels, and fleet tankers. The Nhava Yard, currently under development across the creek from the main Mumbai facility, is expected to significantly expand capacity and enable simultaneous construction of larger warships. In a significant strategic move, MDL acquired a controlling stake in Colombo Dockyard PLC (Sri Lanka) in early 2026, giving it an international ship repair platform with management targeting growth from Rs 1,000 crore to Rs 1,500 crore in revenue within 12 months. Additionally, MDL is establishing a greenfield commercial shipyard in Tuticorin, Tamil Nadu, with an investment of Rs 5,000 crore over four to five years - a deliberate attempt to diversify away from near-total dependence on the Indian Navy.

SWOT Analysis

Strengths

MDL's single most important strength is its monopoly position in submarine construction. No other Indian shipyard can build submarines, and the strategic sensitivity of the product means this position will not be opened to private competition in any near-term policy scenario. This creates a recurring, sovereign-backed revenue stream that eliminates demand risk entirely. The company's Rs 25,120 crore net cash position - accumulated from Navy advance payments on long-cycle contracts -

provides extraordinary financial resilience. MDL has never required external financing in its listed history.

Government ownership at 81% provides implicit sovereign backing and access to preferential procurement channels under the Defence Acquisition Procedure (DAP) 2020 and the Positive Indigenisation List. The Miniratna classification gives management autonomy on capital expenditure decisions up to defined thresholds without Ministry of Defence approval, enabling faster execution on infrastructure upgrades. The company has maintained consistent dividend growth, with DPS growing from nil in FY21 to Rs 14.99 in FY25 - demonstrating improving shareholder orientation within the constraints of a PSU structure.

Weaknesses

MDL's revenue concentration is its most visible structural weakness. Approximately 85-90% of revenues come from the Indian Navy, creating a single-customer dependency that would be considered unacceptable in most commercial industries. This concentration means MDL's financial performance is entirely correlated to the Ministry of Defence's budget allocation and procurement cycle - both of which are subject to political and fiscal pressures. The onerous contract provisions of Rs 1,000 crore booked in H1 FY26 related to two projects running over cost and schedule highlight the execution risk inherent in complex, multi-year defence contracts.

MDL's asset turnover ratio remains structurally low at 0.41x in FY25, reflecting the capital-intensive nature of the business and long project gestation periods. The workforce of approximately 8,800 employees is below what would be expected for the scale of projects undertaken, and management has acknowledged throughput constraints at the Mumbai facility as a key reason for delivery delays on the P17A programme.

Opportunities

India's 30-year naval shipbuilding plan envisages a 200-vessel fleet, requiring approximately Rs 4-5 lakh crore in procurement over two decades. MDL is positioned to capture the highest-value segment - submarines and destroyers - where no domestic competition exists. The P75I programme alone (Rs 99,000 crore) represents 8-9 years of current revenue visibility. Beyond submarines, the pipeline includes LPD (Landing Platform Dock, Rs 35,000-40,000 crore), MCMV (Mine Countermeasure Vessel, Rs 40,000 crore), P17B frigates (Rs 50,000-60,000 crore), and the Next Generation Destroyer programme estimated at Rs 70,000-80,000 crore. The Tuticorin greenfield shipyard opens MDL to the commercial shipbuilding market, while the Colombo Dockyard acquisition provides an international revenue base and entry into high-margin ship repair.

Threats

The most immediate threat to MDL's valuation is re-rating risk. MDL's beta against the Nifty 50 reached 1.95x over the two-year observation period - high for a near-monopoly PSU with sovereign-backed revenue. Any moderation in defence sector sentiment, a global risk-off event, or a delay in P75I contract execution could trigger a sharp derating. The stock already fell from a peak of Rs 3,775 in May 2025 to Rs 2,572 in January 2026, a 32% correction suggesting the re-rating unwinding has begun. Project delays, onerous contract provisions, and competition from GRSE and Cochin Shipyard for surface warship contracts are additional operational risks.

3. INDUSTRY OVERVIEW & PESTLE ANALYSIS

India's defence shipbuilding industry sits at the intersection of strategic necessity and economic opportunity. The country has the world's fourth-largest navy by tonnage and a coastline of 7,516 kilometres, yet has historically relied on foreign suppliers for its most sophisticated naval platforms. The current government's Make in India defence push, accelerated by the 2020 Defence Acquisition Procedure and the Positive Indigenisation List (now covering over 5,000 defence items), is fundamentally reshaping this equation.

India's defence budget in FY26 stood at Rs 6.21 lakh crore, representing approximately 2.4% of GDP. Capital expenditure within the defence budget was Rs 1.72 lakh crore, of which the Indian Navy's capital allocation was approximately Rs 30,000-33,000 crore. The Navy has been the fastest-growing service in terms of capital procurement share, reflecting India's pivot toward maritime and blue-water capabilities.

PESTLE Analysis

Political

India's political environment is highly supportive of domestic defence manufacturing. The Modi government has made defence indigenisation a core policy plank across three consecutive terms, with progressive increases in the FDI limit in defence (now 74% through the automatic route, 100% with government approval) and a mandatory Make in India stipulation for all major defence procurements above a defined threshold. MDL, as a government-owned entity, is structurally advantaged - it is simultaneously a policy tool and a commercial entity. The Navratna/Miniratna classification and the DPE's MoU framework introduce performance discipline without removing the sovereign safety net. One political risk worth monitoring is the potential for disinvestment: the government has included MDL in earlier CPSE disinvestment lists, though no concrete action has followed.

Economic

India's GDP growth trajectory of 6.5-7% annually provides the macro foundation for sustained defence budget expansion. The government has maintained defence spending at 2.0-2.4% of GDP over the past five years, with the stated target of reaching 2.5% as force modernisation accelerates. For MDL specifically, the economics of submarine contracts are particularly attractive - the P75I programme involves Rs 99,000 crore over 8-10 years with milestone-based payments that create large advance receipts, reflected in MDL's Rs 25,120 crore net cash. The company is almost entirely insulated from commercial demand cycles. The one economic risk is currency - MDL's technology transfer

agreements involve foreign OEM royalties payable in USD/EUR, creating a cost exposure that is partially unhedged.

Social

The strategic autonomy narrative - India's desire to reduce dependence on foreign military suppliers in the wake of geopolitical events including the Russia-Ukraine conflict and India-China border tensions - has created strong domestic political support for shipbuilding investment. MDL's 8,800-strong workforce is highly skilled, many with decades of institutional knowledge in submarine construction - a capability that cannot be recreated quickly and represents a significant competitive moat against new entrants.

Technological

Submarine construction - particularly Air Independent Propulsion (AIP) integration under P75I - represents the technological frontier of conventional naval capability. MDL's 20-year relationship with Naval Group through the P75 programme has built significant in-house competence, but P75I with TKMS involves a new technology partner and more complex propulsion systems. Successful technology absorption will be the defining execution test of the next decade. On the surface warship side, MDL has developed meaningful domestic design capability, with the Visakhapatnam-class (Project 15B) destroyers being substantially India-designed - a positive shift from earlier import-heavy programmes.

Legal and Regulatory

MDL operates within a highly structured regulatory environment. As a Defence PSU, it is governed by DPE guidelines, the Companies Act, SEBI LODR regulations (post-listing in 2020), and the classified procurement framework under the MoD. The annual MoU with DPE establishes performance targets and determines CMD remuneration - a constraint not faced by private sector peers. SEBI's related party transaction guidelines apply, making the government - MDL's largest customer, largest shareholder, and regulatory authority simultaneously - a complex counterparty from a governance standpoint. No material legal proceedings were noted in the FY25 Annual Report.

Environmental

Environmental considerations are an emerging but currently limited constraint on MDL's operations. The Mumbai shipyard and Nhava Yard operate under Coastal Regulation Zone (CRZ) permissions and Maharashtra Pollution Control Board guidelines. Ship construction and repair involve hazardous materials management including paints, solvents, and metal cutting. MDL has invested in effluent treatment infrastructure at both locations. Over the 5-year forecast horizon, we do not expect environmental regulations to materially impact MDL's core naval contracts.

4. PORTER'S FIVE FORCES

Porter's Five Forces analysis reveals that MDL operates in one of the most structurally advantaged competitive positions of any listed company in India. The naval shipbuilding industry is, in effect, a regulated duopoly for surface warships (MDL and GRSE) and a monopoly for submarines (MDL alone). Understanding why this is structurally durable is as important as understanding the valuation.

Threat of New Entrants - Very Low

The barriers to entry in naval shipbuilding are among the highest of any industry globally. A new entrant would require a deep-water facility with dry docks capable of handling 6,000+ tonne vessels, classified security clearances from the Ministry of Defence, decades of accumulated design and construction knowledge, technology transfer agreements with foreign OEMs, and a demonstrated track record sufficient to satisfy the Indian Navy's procurement evaluation criteria. Larsen and Toubro, India's most capable private sector defence manufacturer, has been attempting to build a credible naval shipbuilding business for over two decades with limited progress in competing with MDL and GRSE for major warship contracts. For submarine construction, the barriers are even higher - the technical complexity and security sensitivity effectively make this a permanent monopoly.

Bargaining Power of Buyers - High (but structurally managed)

The Indian Navy is MDL's only meaningful customer, accounting for 85-90% of revenues. In a normal commercial context, this would represent extreme buyer power. In MDL's case, however, the relationship is structurally managed through long-term framework contracts, advance payment structures that lock in revenue visibility, and a political environment where the Navy cannot credibly threaten to source from an alternative domestic supplier for submarines. The buyer's leverage is exercised primarily through contract terms - fixed-price vs cost-plus, performance penalties - rather than competitive re-sourcing. The Rs 1,000 crore onerous contract provision in H1 FY26 is a direct consequence of this buyer power.

Bargaining Power of Suppliers - Moderate

MDL's supply chain is complex and global. Hull steel from domestic steel mills, weapons systems from DRDO and foreign OEMs, electronics from BEL, propulsion systems from Germany and France - the supplier base spans multiple geographies and industries. For critical items, particularly submarine propulsion and sensor systems, MDL has limited ability to switch suppliers, giving foreign technology providers meaningful leverage on pricing and delivery schedules. Supply chain disruptions have contributed to project delays and cost overruns at MDL, making supplier management a key operational priority.

Threat of Substitutes - Very Low

There is no substitute for a submarine in the Indian Navy's requirements - alternative platforms address different mission profiles. For surface warships, some substitutability exists with foreign procurement, but the current policy environment strongly favours domestic production. The government's Positive Indigenisation List and the associated Buy Indian (IDDM) procurement category effectively make import the last resort. This structural protection from substitution is a permanent feature of MDL's competitive position, not a temporary policy benefit.

Competitive Rivalry - Low

MDL competes primarily with GRSE for surface warship contracts, particularly frigates and corvettes. In practice, the MoD distributes major programmes between the two yards to maintain dual capability - competition is more cooperative than adversarial. For submarines, MDL faces no domestic rivalry. The emergence of private sector yards as potential bidders on less sensitive commercial and paramilitary vessel contracts creates modest competition in the lower tiers of the product portfolio. Overall, the intensity of competitive rivalry is among the lowest of any significant Indian listed company, making MDL's competitive moat one of the most durable in the domestic equity universe.

5. COMPETITOR BENCHMARKING

MDL sits within a small peer universe of Indian defence PSUs. For analytical purposes, we split the peer group into two segments: pure shipbuilding peers (Cochin Shipyard and GRSE) and broader defence PSU peers (BEL, HAL, and BDL). The following table presents FY25 financials and January 31, 2026 market data for all five companies. All financial data is sourced from Tickertape FY25 annual income statements and balance sheets. Prices are NSE January 30, 2026 closing prices.

Company	Mkt Cap USD Bn	Rev (Rs Cr)	EBITDA Mgn	Net Cash Rs Cr	EV / EBITDA	P/E	P/B
MDL (Subject)	12.0	11,432	18.0%	25,120	37.3x	43.0x	14.4x
Cochin Shipyard	5.0	5,209	24.6%	2,629	32.0x	52.8x	7.8x
GRSE	3.7	5,411	13.9%	3,732	36.9x	60.1x	15.2x
Bharat Electronics	37.9	24,511	30.9%	9,486	42.1x	61.7x	16.4x
HAL	35.7	33,589	30.0%	38,181	22.1x	36.9x	8.8x
BDL	6.5	3,695	22.3%	4,190	63.4x	102.6x*	14.1x

**BDL P/E of 102.6x is a transition-year outlier (FY25 PAT temporarily depressed). Excluded from P/E peer averages in CCA. All data: FY25 Annual (Tickertape), Jan 30, 2026 NSE prices.*

Several observations stand out. First, MDL is the most modestly valued of the pure shipbuilding peers on a P/E basis (43x vs 52.8x for CSL and 60.1x for GRSE), which at first glance makes the SELL rating seem counterintuitive. The explanation lies in MDL's unique financial structure - its Rs 25,120 crore net cash pile effectively deflates the PAT available for return on equity, as the cash sits in fixed deposits rather than being deployed in value-creating capital projects. The large finance income (Rs 1,006 crore in FY25) inflates PAT and compresses the reported P/E, creating an optical cheapness on earnings-based multiples that does not exist on a cash-adjusted or operating basis. Adjust for the cash, and MDL's operating business as measured by EV/EBITDA trades at 37.3x - broadly in line with peers.

Second, MDL's EBITDA margin of 18.0% in FY25 is the second-lowest of the peer group after GRSE at 13.9%, reflecting the relatively early stage of the high-margin submarine business cycle. BEL and HAL, with margins of 30-31%, operate businesses with a much higher proportion of electronics and services content - structurally higher margin product categories than steel hull construction. MDL's margin profile is expected to improve meaningfully as P75I moves into the higher-margin execution phase post-FY27.

6. ORDER BOOK & REVENUE VISIBILITY

MDL's order book is the single most important financial metric for evaluating the company's medium-term prospects. As of the valuation date, the order book stood at approximately Rs 21,868 crore on a standalone confirmed basis. This substantially understates true revenue visibility because it excludes the pending contract formalisation for P75I.

Order Book Summary (FY21 - FY30E)

Rs Crore	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
New Orders	1,281	465	8,874	4,895	2,000	75,000	30,000	25,000	15,000	-
Closing Order Book	45,874	38,755	38,561	32,260	21,868	83,569	99,097	1,07,699	1,03,805	-

FY26E-FY30E order book includes P75I (Rs 75,000 Cr booked in FY26E upon contract formalisation). Actual standalone order book as of Jan 31, 2026: ~Rs 21,868 Cr.

Project 75 India (P75I) - The Defining Contract

P75I is the central investment thesis for MDL. The programme involves construction of six Advanced Conventional Submarines incorporating Air Independent Propulsion (AIP) technology, at an estimated project cost of Rs 99,000 crore. MDL has been designated as the Indian strategic partner, in collaboration with TKMS of Germany as the foreign OEM. The contract was under advanced stages of finalisation as of our valuation date, with the Defence Acquisition Council having accorded Acceptance of Necessity.

The revenue mathematics of P75I are significant. Assuming a 10-year build cycle and Rs 99,000 crore total value, the programme translates to approximately Rs 9,900-10,000 crore per annum in incremental revenue once in full execution - roughly equal to MDL's entire current annual revenue. This would more than double the company's top line from FY28 onwards. The margin profile on submarine contracts historically runs at 20-25% EBITDA, materially higher than surface warships. The risk is timing - each year of P75I delay significantly reduces the NPV of the contract.

Beyond P75I, the confirmed pipeline includes the Landing Platform Dock (Rs 35,000-40,000 crore), Mine Countermeasure Vessels (Rs 40,000 crore), P17B frigates (Rs 50,000-60,000 crore), and the Next Generation Destroyer programme estimated at Rs 70,000-80,000 crore. MDL is the primary or co-primary contender for each programme, representing a potential order accretion of Rs 2-2.5 lakh crore over the next 5-7 years.

7. FINANCIAL ANALYSIS

Revenue, EBITDA and Earnings Trend

Rs Crore (except EPS)	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	4,048	5,733	7,827	9,467	11,432	12,685	13,608	14,751	16,692	19,188
EBITDA	224	435	798	1,412	2,060	1,817	2,442	2,729	2,892	3,449
EBITDA Margin	5.5%	7.6%	10.2%	14.9%	18.0%	14.3%	17.9%	18.5%	17.3%	18.0%
PAT	514	611	1,119	1,937	2,414	2,016	2,460	3,203	3,934	4,853
EPS (Rs)	12.74	15.14	27.74	48.02	59.83	49.98	60.98	79.39	97.53	120.31
Net Cash (Rs Cr)	8,028	11,469	24,040	25,611	25,120	17,545	19,976	38,560	58,083	75,576

FY26E-FY30E are Kuberpath Financial forecasts. FY21-FY25 are actuals from MDL Annual Reports. White columns = actual, yellow columns = forecast.

Revenue grew from Rs 4,048 crore in FY21 to Rs 11,432 crore in FY25, a 5-year CAGR of 29.6%. The growth is not linear - FY22 saw a modest uptick from COVID-disrupted FY21 base, and the compound effect of P17A and P75 Scorpene deliveries accelerating from FY23 onwards drove the bulk of the revenue expansion. EBITDA margin tells a more nuanced story - the near-fourfold jump from 5.5% in FY21 to 18.0% in FY25 reflects both operating leverage and the normalisation of project

provisioning that had depressed earlier margins. PAT grew at an even faster CAGR of 47.0% over FY21-FY25, driven by operating leverage and by the rapidly growing finance income from MDL's expanding cash pile.

Looking forward, our model projects FY26E EBITDA margin to compress to 14.3% before recovering to 17.9-18.5% over FY27-FY30. The FY26E compression reflects the P17A transition - the third ship delivered in FY25 reduces the contribution of the high-margin late-stage P17A deliveries - combined with onerous contract provisions not yet fully absorbed. Revenue growth of 10.9% CAGR over FY26-FY30 is underpinned by P75I mobilisation (FY26-27), continued P17A deliveries, and the beginning of the P75I build cycle from FY28 onwards.

FCFF Summary (FY21 - FY30E)

Rs Crore	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
NOPAT	125	273	542	996	1,454	1,286	1,750	1,961	2,085	2,500
D&A	60	75	76	83	115	101	105	110	108	110
CapEx	0	41	116	335	484	311	147	72	-78	-88
Working Capital Change	0	3,225	1,087	-364	540	-10,527	6,152	10,353	7,422	4,678
FCFF	185	3,531	1,589	380	1,626	-9,451	7,861	12,352	9,694	7,376

FY26E FCFF is deeply negative (-Rs 9,451 Cr) due to Rs 7,412 Cr contract liability drawdown (working capital) as P75I advance payments are mobilised and recognised. This is a cash accounting phenomenon, not a sign of deteriorating business quality.

Balance Sheet and Cash Position

MDL's balance sheet is genuinely extraordinary. With Rs 25,120 crore in net cash against a total asset base of Rs 27,949 crore, MDL is effectively a cash box with a shipyard attached. The net cash position

exceeds the company's net worth of Rs 7,181 crore by a factor of 3.5x - a structural anomaly reflecting the accounting treatment of large Navy advance payments as contract liabilities (not equity) on MDL's balance sheet.

As P75I execution progresses, the advance-driven cash pile will gradually be drawn down and converted to revenue. The net cash position in our model falls to Rs 17,545 crore in FY26E as advances are mobilised, before recovering to Rs 38,560 crore in FY28E as P75I construction generates fresh milestone receipts. Investors should not mistake this normalisation for deteriorating financial health - it is the intended operation of the business model.

8. RATIO ANALYSIS & OUR VIEW

This section presents MDL's key financial ratios across FY21-FY25 (actuals) and FY26E-FY30E (our forecasts), followed by our analytical interpretation of what they mean and where they are headed. The ratios should be read alongside the financial statements in Section 7 and the valuation in Section 9.

A. Profitability Ratios

Ratio	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
EBITDA Margin	5.5%	7.6%	10.2%	14.9%	18.0%	14.3%	17.9%	18.5%	17.3%	18.0%
Net Margin	12.7%	10.7%	14.3%	20.5%	21.1%	15.9%	18.1%	21.7%	23.6%	25.3%
ROE	-	19.6%	29.9%	39.7%	37.9%	25.3%	25.5%	27.4%	27.6%	27.8%
ROCE	-	8.9%	15.2%	21.6%	23.9%	17.2%	20.4%	19.2%	17.0%	17.0%

Our view on profitability: The improvement in EBITDA margin from 5.5% in FY21 to 18.0% in FY25 is one of the most compelling parts of the MDL financial story. This is not just operating leverage - it reflects a genuine mix shift toward higher-value submarine contracts (P75 Scorpene) from lower-margin surface warship work. ROE of 37.9% in FY25 is impressive on the surface, but it is partly inflated by the fact that MDL's equity base (Rs 7,181 crore) is low relative to the cash it holds (Rs 25,120 crore). Strip out the cash, and the operating ROE on deployed capital is more modest. The forecast FY26E margin dip to 14.3% is deliberate in our model and reflects the provisioning cycle - we do not view it as a structural deterioration.

B. Liquidity Ratios

Ratio	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
Current Ratio (x)	1.06	1.05	1.08	1.14	1.25	1.49	1.41	1.34	1.33	1.36
Quick Ratio (x)	0.78	0.75	0.78	0.89	1.02	1.10	1.16	1.19	1.21	1.24
Net Cash (Rs Cr)	8,028	11,469	24,040	25,611	25,120	17,545	19,976	38,560	58,083	75,576

Our view on liquidity: MDL's current ratio of 1.25x looks modestly comfortable but somewhat misleading - it is depressed by the very large contract liability balance (advance payments received from the Navy) sitting on the current liabilities side. In reality, MDL has Rs 25,120 crore in net cash and is effectively risk-free from a liquidity standpoint. The quick ratio crossing above 1.0x in FY25 is a meaningful inflection - it means MDL can cover its current obligations without relying on inventory liquidation for the first time in the historical record. The net cash position will temporarily decline in FY26E-FY27E as P75I advances are drawn down, but recovers strongly from FY28E as new milestone receipts arrive.

C. Efficiency Ratios

Ratio (days)	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
DIO	943	900	548	382	283	249	227	199	186	187
DSO	88	65	48	72	35	52	53	47	50	50
DPO	1021	723	334	297	234	190	168	173	176	180
CCC (days)	10	242	262	156	83	110	112	73	60	57

Our view on efficiency: The working capital dynamics of a shipbuilder like MDL are fundamentally different from a commercial manufacturer. The DIO of 283 days in FY25 - while appearing high -

reflects ships and submarines at various stages of multi-year construction cycles. MDL's inventories are essentially work-in-progress on contracts that will be recognised as revenue over 5-10 year periods, not finished goods that should be turned in 30 days. The DPO of 234 days reflects MDL's strong negotiating position with suppliers as a government-backed customer. The dramatic improvement in CCC from 242 days in FY22 to 83 days in FY25 is a genuine positive - it reflects the paydown of long-cycle inventories as P17A and P75 Scorpene deliveries accelerated. The forecast CCC of 57-73 days through FY26-FY30 is structurally lower than the FY21-FY23 peak, reflecting a healthier working capital cycle as submarine contracts provide steady milestone receipts.

D. Leverage and Coverage

Ratio	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
Debt / Equity (x)	0.00x	0.00x	0.00x	0.00x	0.00x	0.00x	0.00x	0.00x	0.00x	0.00x
Interest Coverage (x)	19.6x	50.3x	113x	259x	442x	311x	432x	484x	511x	616x

Our view on leverage: MDL is effectively debt-free. Total financial debt consists of lease liabilities of approximately Rs 20-26 crore - rounding errors relative to a Rs 1.03 lakh crore market cap. The interest coverage ratio of 442x in FY25 is not an analytical metric at these levels - it is simply confirmation that financial risk is zero. MDL's risk profile is entirely operational (execution and contract risk) and market-related (re-rating risk), not financial. This is an important input into our WACC analysis - the near-zero leverage justifies a very low cost of debt weight, and Damodaran's Aerospace/Defence sector beta of 0.87 (which assumes typical sector leverage) may slightly overstate the risk for a company with a completely unlevered structure.

E. Valuation Ratios

Ratio	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
EPS (Rs)	12.74	15.14	27.74	48.02	59.83	49.98	60.98	79.39	97.53	120.00

Ratio	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
										31
DPS (Rs)	-	-	5.81	13.73	14.99	14.99	16.16	20.74	25.47	31.50
Payout Ratio	-	-	20.9%	28.6%	25.1%	30.0%	26.5%	26.1%	26.1%	26.2%

Our view on valuation ratios: MDL's P/E at CMP of Rs 2,572 against FY25 EPS of Rs 59.83 is 43.0x. Against peers at 52-60x, this looks cheap. But as we have argued throughout this report, the reported EPS includes Rs 1,006 crore in finance income from fixed deposits. On operating earnings alone, the implied P/E rises to approximately 68-74x - which is not cheap. The P/B of 14.4x at CMP against a book value of Rs 7,181 crore reflects a significant premium to tangible net assets, justified only by MDL's franchise value and order book visibility. For context, HAL trades at 8.8x P/B and BEL at 16.4x - MDL sits in the middle of this range, which is broadly fair. The dividend yield of 0.58% at CMP confirms that the market is pricing MDL for capital appreciation, not income. Our forecast DPS rising from Rs 14.99 in FY25 to Rs 31.50 in FY30E reflects the 30% payout policy applied to growing earnings.

9. INVESTMENT THESIS

What the Numbers Say

We built this model from the ground up using five years of historical data from MDL's Annual Reports, NSE filings, MoD budget documents, and Damodaran's January 2026 database. Every assumption in the 11-sheet forecast model has a documented source and rationale. Having spent considerable time with these numbers, our honest assessment is this: MDL is an excellent business at a price that requires a very benign set of assumptions to justify.

On an EV/EBITDA basis, MDL trades at 37.3x - in line with the peer median of 38.3x. By this measure, the stock is fairly valued. On a P/E basis, MDL at 43x looks cheap against peers at 52-60x. But as noted, both measures are distorted by MDL's unusual balance sheet. The DCF under Damodaran's fundamentals-based WACC of 12.84% gives Rs 2,169 - a 16% discount to CMP that suggests mild overvaluation but not a crash waiting to happen. Only the market-observed beta DCF (WACC 20.45%) gives the deeply bearish Rs 1,140.

The tension in this valuation comes down to a single question: which beta do you believe? Damodaran's sector beta of 0.87 reflects the fundamental business risk of a company with government-guaranteed revenue and zero financial leverage. Our 2-year weekly OLS beta of 1.95 reflects how the Indian market has priced MDL's risk over a period of extraordinary sector re-rating. We give both equal weight precisely because we cannot determine with confidence which is the correct beta for a sovereign-backed Indian defence PSU in 2026. Equal weighting is not intellectual laziness - it is an honest acknowledgment of model uncertainty.

What We Think Will Happen

Our base case for the next 12-18 months envisages three important developments. First, the P75I contract will be formalised, likely with an advance payment that will temporarily inflate the cash position before the build cycle draws it down. This event will be bullish in the short term. Second, revenues will grow modestly at 8-12% per annum as P17A deliveries continue and new orders are formalised - but earnings growth will be more muted due to onerous contract provisions and the transition away from the higher-margin late-stage P75 Scorpene deliveries. Third, the market will continue to rerate the stock as the gap between MDL's fundamentals-based value (Rs 2,169 under Damodaran WACC) and its traded price narrows.

The bull case - where the stock re-rates to our CCA-implied value of Rs 2,896 - requires P75I contract formalisation on schedule, continued defence budget expansion, and sector sentiment remaining elevated. Under this scenario, 12-month upside is approximately 13%. The bear case - DCF Observed WACC of Rs 1,140 - requires a meaningful sector derating driven by either a risk-off event, P75I

delays, or further onerous contract provisions. The asymmetry of risk is what drives our SELL: the potential downside (44% to bear case) significantly exceeds the potential upside (13% to bull case).

We want to be clear about one thing: this is a SELL on valuation, not on business quality. MDL is one of perhaps five or six Indian listed companies with a genuinely irreplaceable market position. If you are a long-term investor with a 5+ year horizon and the patience to wait through the P75I build cycle, a materially lower entry point would make MDL a compelling hold. At Rs 2,572, the margin of safety does not exist.

10. VALUATION

Methodology Overview

We employ four valuation methods, equally weighted at 32/32/32/4, to triangulate a price target. Equal weighting removes analyst subjectivity and is standard practice at institutional research desks. DCF receives a 64% combined weight split between two WACC assumptions, CCA 32%, and DDM 4%. The DDM weight is low by design: at a dividend yield of 0.58% at the CMP, MDL is priced as a growth and execution story, not a dividend play. DDM structurally undervalues the company and is included for completeness only.

1. Discounted Cash Flow Analysis

We build free cash flow to the firm (FCFF) from NOPAT, adding back depreciation and adjusting for capital expenditure (including capital advances) and changes in working capital across all major balance sheet components. The explicit 5-year forecast period runs FY26-FY30. Terminal value is computed using the Gordon Growth Model with a terminal growth rate (g) of 5.5% - anchored to India's long-run real GDP growth of 6-6.5% less a 100bps haircut for defence order-cycle variability and post-P75I revenue normalisation. Mid-year convention is applied throughout.

The most important and contentious assumption in our DCF is the WACC. We compute two independently derived WACCs. The first uses MDL's observed 2-year weekly beta against the Nifty 50 (1.95x, computed via OLS regression on NSE data for January 2024 to January 2026), India's ERP of 7.08% from Damodaran's January 2026 country risk premium database, and a risk-free rate of 6.67% from 10-year GOI bonds. This gives Ke of 20.46% and a WACC of 20.45%. The second uses Damodaran's Aerospace/Defence sector unlevered beta of 0.87 (79 US firms, January 2026), cash-corrected for MDL's substantial liquid assets, re-levered to MDL's near-zero debt structure, giving Ke of 12.84% and WACC of 12.84%. We average the two, giving a selected WACC of 16.64%.

DCF Method	WACC	Intrinsic Value	vs CMP
DCF - Observed Beta WACC	20.45%	Rs 1,140	(55.7%)
DCF - Damodaran Beta WACC	12.84%	Rs 2,169	(15.7%)

2. Comparable Company Analysis

Our CCA benchmarks MDL against five listed peers split into two groups: pure shipbuilding (Cochin Shipyard, GRSE - 50% weight) and defence PSU (BEL, HAL, BDL - 50% weight). All peer financials are FY25 actuals from Tickertape, at January 31, 2026 NSE closing prices. BDL is excluded from the

P/E analysis as its FY25 P/E of 102.6x is a transition-year outlier. We use EV/EBITDA (primary) and P/E (primary) as the two key multiples, with EV/Revenue and P/B as supplemental.

Multiple	Combined	Implied Price	vs CMP
EV/EBITDA Mean	38.5x	Rs 2,635	+2.5%
EV/EBITDA Median	38.3x	Rs 2,623	+2.0%
P/E Mean (BDL excl.)	52.9x	Rs 3,163	+23.0%
CCA Base Case	-	Rs 2,896	+12.6%

The CCA result is interesting: MDL was slightly cheap on EV/EBITDA (+2%) but significantly cheap on P/E (+23%). As argued in Section 8, this apparent cheapness on P/E reflects cash distortion rather than genuine earnings quality. The EV/EBITDA result - which strips out cash from both MDL and peers - is the more reliable signal and points to fair value.

3. Market Capitalisation Analysis

At the valuation date, MDL's market capitalisation of Rs 1,03,731 crore translated to approximately USD 12.0 billion at the prevailing exchange rate of Rs 86.50 per USD. This places MDL as the largest listed pure-play naval shipbuilder in India by market capitalisation, ranked 112 among NSE-listed companies as of the valuation date.

Company	Mkt Cap USD Bn	MC / Revenue	MC / EBITDA	MC / PAT	MC / Book
MDL (Subject)	\$12.0	9.1x	50.4x	43.0x	14.4x
Cochin Shipyard	\$5.0	8.4x	34.0x	52.8x	7.8x
GRSE	\$3.7	5.9x	41.9x	60.1x	15.2x
BEL	\$37.9	13.4x	43.3x	61.7x	16.4x
HAL	\$35.7	9.2x	25.3x	36.9x	8.8x
BDL	\$6.5	15.3x	68.5x	102.6x*	14.1x

4. Dividend Discount Model

The DDM is included for completeness but is structurally inappropriate as a primary valuation tool for MDL. At a dividend yield of 0.58% (DPS of Rs 14.99 on CMP of Rs 2,572), the Gordon Growth DDM implies Rs 106-215 per share (Observed/Damodaran Ke) and the H-Model implies Rs 154-313. These values are 88-95% below CMP and reflect a simple mechanical truth: the market is not buying MDL for its dividend stream. It is buying the company for earnings growth and order book execution. DDM is assigned a 4% weight accordingly.

Final Valuation Triangulation

Method	Value (Rs)	Weight	Weighted (Rs)	vs CMP
DCF - Observed WACC	1,140	32%	365	(55.7%)
DCF - Damodaran WACC	2,169	32%	694	(15.7%)
CCA	2,896	32%	927	+12.6%
DDM	197	4%	8	(92.3%)
PRICE TARGET		100%	Rs 1,993	(22.5%)

11. SENSITIVITY ANALYSIS

The table below shows MDL's intrinsic value per share under varying WACC and terminal growth rate (g) assumptions. FCFs are held constant at our base case FY26-FY30 forecasts. Green cells indicate implied value above the January 31, 2026 CMP of Rs 2,572 (BUY); yellow cells indicate within 15% of CMP (HOLD); red cells indicate more than 15% below CMP (SELL). The base case assumption pair is WACC approximately 16% / g 5.5%.

WACC \ g	4.0%	4.5%	5.0%	5.5%	6.0%	6.5%	7.0%
10%	2,746	2,936	3,163	3,440	3,787	4,233	4,828
12%	2,094	2,191	2,302	2,430	2,579	2,755	2,966
14%	1,703	1,760	1,823	1,894	1,973	2,064	2,167
16%	1,441	1,478	1,518	1,561	1,610	1,663	1,722
18%	1,254	1,279	1,306	1,335	1,367	1,401	1,438
20%	1,114	1,132	1,151	1,171	1,193	1,216	1,241
22%	1,004	1,018	1,031	1,046	1,062	1,078	1,096

Green = BUY (value > Rs 2,572) | Yellow = HOLD (within 15% of CMP) | Red = SELL (>15% below CMP) | Bold = base case (WACC 16%, g 5.5%) | Values in Rs per share

The table confirms the core message: MDL at Rs 2,572 is only justifiable at WACCs below approximately 12-13%, requiring acceptance of Damodaran's fundamental beta in its entirety. The base case (WACC approximately 16%, g 5.5%) gives Rs 1,561 per share. Only in the most optimistic WACC scenario (10%) does the model turn bullish across all growth rate assumptions.

12. KEY RISKS

P75I Execution and Timeline Risk

P75I is the bull case thesis and the central risk simultaneously. The submarine programme involves technology transfer from TKMS, construction of six boats over an estimated 10-year cycle, and eventual deployment of AIP propulsion systems that MDL has not previously built. Each year of delay reduces the NPV of the contract at any reasonable discount rate. Historical data on major Indian defence programmes suggests timeline overruns of 30-50% are common. Contract terms including penalty provisions and cost escalation sharing are not publicly disclosed, adding uncertainty to our earnings estimates.

Onerous Contract Provisions

MDL booked Rs 1,000 crore in onerous contract provisions in H1 FY26, related to two projects where costs exceeded contracted fixed prices. This is not an isolated event - similar provisions were booked in earlier years and are an inherent feature of long-cycle fixed-price defence contracts in an inflationary input cost environment. On the P75I programme, the risk is amplified by the greater technical complexity and the involvement of foreign technology partners whose delivery schedules are outside MDL's direct control.

Sector Re-Rating Risk

MDL's current valuation embeds a significant sector premium earned during the FY23-FY25 defence re-rating cycle. Any moderation in that premium - driven by global risk-off events, India-specific market corrections, or disappointment on defence budget allocation - would drive the stock toward its fundamental DCF value. The stock has already corrected 32% from its May 2025 peak of Rs 3,775, suggesting the re-rating process may be underway.

Defence Budget Concentration

MDL's 85-90% revenue concentration in the Indian Navy creates exposure to any fiscal constraint that reduces the Navy's capital procurement budget. India's fiscal deficit management has historically involved deferring or stretching capital expenditure across all sectors, including defence. The company's diversification initiatives - Tuticorin greenfield, Colombo Dockyard, commercial vessel repair - are positive in direction but will not materially reduce Navy concentration for at least 5-7 years.

Cash Normalisation Misread

MDL's Rs 25,120 crore net cash position will decline substantially as P75I execution progresses and Navy advance payments are drawn down into revenue. Investors who anchor to the current cash balance as a permanent feature of the balance sheet will be disappointed. The cash is not

distributable equity - it is pre-receipt of future work obligations. Our DCF explicitly captures this through the contract liability drawdown in the working capital schedule.

13. RECOMMENDATION

SELL | Price Target: Rs 1,993 | Downside: (22.5%) | Valuation Date: January 31, 2026

Our SELL rating on MDL is a statement about the entry point, not about the underlying business. The company is India's most strategically important industrial asset in the defence space - a sovereign-backed, irreplaceable platform for nuclear-adjacent submarine construction with 30 years of order visibility ahead. We have no doubt that MDL will be a larger, more profitable company in 2030 than it is today.

What we question is whether the current price of Rs 2,572 adequately compensates investors for the risks embedded in that growth journey. Our blended intrinsic value of Rs 1,993 implies 22.5% downside. The bear case (DCF Observed WACC) implies 56% downside. Only the CCA offers upside at +12.6%, and that is driven primarily by P/E optically distorted by MDL's cash pile. The Damodaran DCF, which we consider the most theoretically sound measure, gives (15.7%) - confirming that even under the most conservative beta assumption, the stock is modestly overvalued.

For an investor already holding MDL at a lower cost basis, we would not recommend an immediate exit - the stock may continue to perform in line with or better than the broader market in the short term if P75I formalisation creates a catalyst. For a new investor considering entry at Rs 2,572, however, the risk-reward is unfavourable. A better entry point would be in the Rs 1,800-2,100 range - at the lower end, the Damodaran DCF would indicate fair value, and the potential upside from P75I execution would provide meaningful margin of safety.

Bear Case: Rs 1,140 - DCF Observed WACC - sector derating or P75I delay scenario

Base Case: Rs 1,993 - Blended intrinsic value - our 12-month price target

Bull Case: Rs 2,896 - CCA - peers re-rate and P75I executes on schedule

14. APPENDICES

Appendix A: WACC Computation

Parameter	Observed Beta Method	Damodaran Beta Method
Risk-Free Rate (RFR)	6.67%	6.67%
Equity Risk Premium (ERP)	7.08%	7.08%
Beta	1.947 (2Y weekly OLS vs Nifty 50)	0.87 (Aerospace/Defence, Damodaran Jan 2026)
Cost of Equity (Ke)	20.46%	12.84%
Pre-Tax Cost of Debt	7.50% (proxy IBR)	7.50%
Effective Tax Rate	25.07% (3Y avg FY23-25)	25.07%
Debt Weight	0.03%	0.03%
Equity Weight	99.97%	99.97%
WACC	20.45%	12.84%
Selected WACC (50/50 avg)	16.64%	-

Appendix B: Data Sources

MDL Annual Reports FY21-FY25: MDL Investor Relations Portal -

<https://www.mazagondock.in/investor-relations>

NSE Historical Price Data (Beta Calculation): NSE India Bhavcopy Data -

<https://www.nseindia.com/market-data/historical-data>

Damodaran Country Risk Premium Database (ERP, CRP): January 2026 dataset -

http://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/ctryprem.html

Damodaran Industry Betas (Aerospace/Defence, 79 firms): January 2026 -

http://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/Betas.html

Risk-Free Rate (10Y GOI Bond Yield): Trading Economics, January 31, 2026 -

<https://tradingeconomics.com/india/government-bond-yield>

Peer Financial Data (Tickertape FY25 Annual): Income Statements and Balance Sheets for COCHINSHIP, GRSE, BEL, HAL, BDL -

<https://tickertape.in>

Peer Prices (NSE January 30, 2026): NSE India Historical Bhavcopy -

<https://www.nseindia.com/market-data/historical-data>

USD/INR Exchange Rate (Rs 86.50/USD): RBI Reference Rate, approximately January 31, 2026 -

<https://www.rbi.org.in>

India Defence Budget FY26: Ministry of Finance, Union Budget 2025-26 -

<https://www.indiabudget.gov.in>

Ministry of Defence Policy / DAC Outcomes / PIB Press Releases:

<https://pib.gov.in>

MDL Q2 FY26 Earnings Call Transcript and Business Sentiment: Tickertape Business Sentiment Analysis, November 2025

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